S. N. Morris

ECONOMIC SURVEYS BY THE OECD

SWEDEN

APRIL 1962

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT
PARIS

BASIC STATISTICS

THE LAND

Area (1,000 sq. km.)	450
Lakes (1,000 sq. km.)	39
Arable area (1,000 sq. km.)	36
Woodland (1,000 sq. km.)	229
Major cities (Dec. 1961):	
Stockholm	807,000
Gothenburg	408,000
Malmo	233,000

THE PEOPLE

Population (Dec. 1961)	7,543,000
No. of inhabitants per sq. km.	17
Net natural increase (average 1956-60)	33,000
— per 1,000 inhabitants (average 1956-60)	4.5
Labour force total (August 1961)	3,788,000
Of which, in agriculture, forestry and fisheries	560,000
Net annual immigration (average 1956-60)	11,000

PRODUCTION

Gross National Product in 1960 (millions of Kronor)	63,560
G.N.P. per head (U.S. $)	1,640
Home food supply (per cent of total food availability, average 1956-57, 57-58)	93
Gross fixed capital formation (1960):	
— percentage of the G.N.P.	22
— per head U.S. dollars	360

THE GOVERNMENT

Public consumption in 1960 (percentage of the G.N.P.)	18
General government current revenue in 1960 (percentage of the G.N.P.)	34
Public gross fixed capital formation in 1960 (percentage of the G.N.P.)	4
Public debt at end-1959 (ratio to general government current revenue in 1959)	139

Composition of Parliament (No. of seats):

	1st Chamber	2nd Chamber
Social democrats	79	114
Liberals	32	40
Conservatives	16	39
Centre	22	34
Communists	2	5
	151	232

Last general election: 1960
Next general election: 1964

LIVING STANDARDS

Calories per head, per day (1959-60)	2,920
Energy consumption per head in 1959 (O.E.E.C. average = 100)	168
Steel consumption per head in 1959 (O.E.E.C. average = 100)	206
Paper consumption per head in 1959 (O.E.E.C. average = 100)	225
Average hourly earnings of male industrial workers in 1961 (in kronor)	6.30
Number of passenger cars in use per 1,000 inhabitants (Dec. 1959)	146
Number of telephones per 1,000 inhabitants (1959)	340
Number of radio sets per 1,000 inhabitants (Dec. 1961)	377
Number of TV sets per 1,000 inhabitants (Dec. 1961)	180

FOREIGN TRADE

EXPORTS

Exports of goods and services as a percentage of G.N.P. (average 1956-60)	28
Main exports (percentage of total commodity exports in 1960):	
Forestry products	34
Machinery, apparatus and transport equipment	31
Iron and steel	8
Iron ore	8

IMPORTS

Imports of goods and services as a percentage of G.N.P. (average 1956-60)	28
Main imports (percentage of total commodity imports in 1960):	
Machinery, apparatus and transport equipment	26
Raw materials (non-edible) and fuels	23
Metals and metal products	14
Food, beverages and tobacco	11

THE CURRENCY

Monetary unit: Krona.

Currency units per U.S. $: 5.17.

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1962

PUBLISHED BY
THE ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT
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The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the O.E.C.D. shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the O.E.C.D., which came into being on 30th September 1961.

The Members of O.E.C.D. are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

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SWEDEN

I. Introduction

1. Since the early 1950's Sweden can generally look back on a record of relatively balanced growth. Foreign market conditions have been favourable, and government policies have been relatively quick to respond to changes in the overall demand situation. Despite a large and growing dependence on foreign trade, and relatively small foreign exchange reserves, Sweden has been able to combine liberal policies in respect of non-agricultural commodity imports and other current transactions, very full employment conditions and a satisfactory rate of expansion. While inflationary conditions have seldom been far below the surface, these have been contained within the limits experienced by the rest of the industrialised world. During the past two years, when private demand rose significantly and threatened to upset the balance previously achieved, government policies have been altered substantially, and by the early months of 1962 the immediate threat of demand inflation appeared to have been overcome.

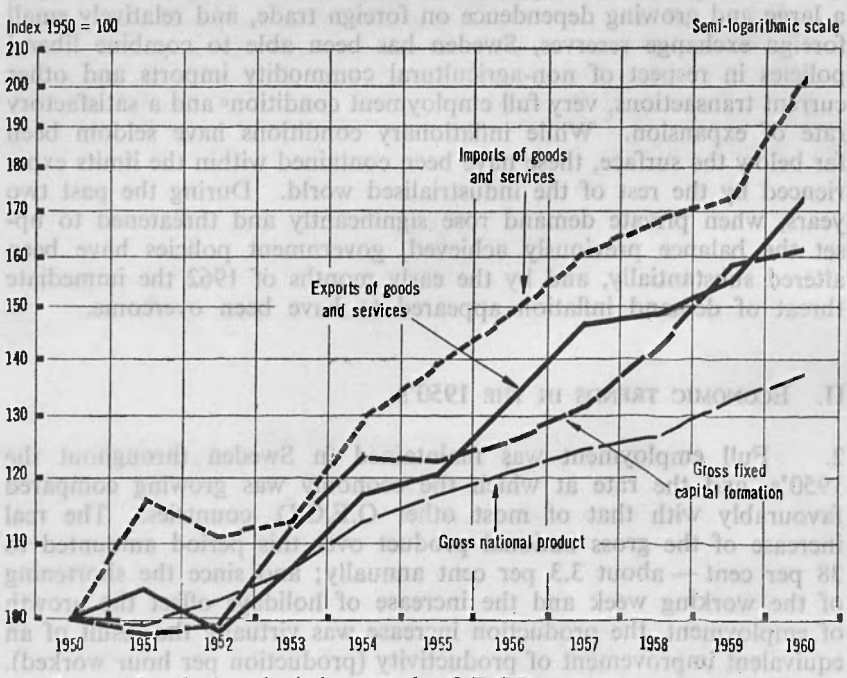
II. Economic trends in the 1950's

2. Full employment was maintained in Sweden throughout the 1950's, and the rate at which the economy was growing compared favourably with that of most other O.E.C.D. countries. The real increase of the gross national product over this period amounted to 38 per cent — about 3.3 per cent annually; and since the shortening of the working week and the increase of holidays offset the growth of employment, the production increase was virtually the result of an equivalent improvement of productivity (production per hour worked).

3. Throughout practically the whole of the decade, demand for labour was higher than was required to ensure a reasonable balance on the labour market at full employment levels. In no year did registered unemployment exceed 2.5 per cent of the insured labour force, and in every year except 1958 manufacturing firms reported a lack of manpower; in 1960 the shortage of manpower was estimated at 2.5 per cent of the number actually employed.

4. The pattern of output has evolved along the lines common to most advanced industrial countries, the share of agriculture declining, that of manufacturing showing little change, but building and the service industries playing an increasingly important rôle in the expansionary process. Employment in agriculture fell by as much as 25 per cent over the decade; but in the public services (including education and medical care) it increased by nearly 50 per cent. Foreign trade (both exports and imports) grew roughly twice as fast as domestic production. The fact that exports played a leading rôle enabled the expansion to continue without the need for any serious restraint of demand to protect the balance of payments — even though, for most of the period, the official foreign exchange reserves were on the uncomfortably low side. And the sharp growth of foreign trade in relation to total production helped to ensure an efficient use of resources.

Diagram 1. DEVELOPMENT OF THE VOLUMES OF OUTPUT, INVESTMENTS AND TRADE IN THE 1950's



Source: Sweden's submissions to the O.E.C.D.

5. Apart from exports, the demand situation has been dominated, over the decade, by a growing emphasis on public services and fixed capital formation. The share of private consumption expenditures declined from 65 per cent of the gross national product in 1950 to 60 per cent in 1960; by the latter year the share of total fixed capital formation had risen to 22 per cent. The Swedish authorities have

continuously stressed the need for a continued increase in the proportion of resources devoted to investment and have been pursuing a particularly active housing policy; since the early 1950's, the number of residential units completed annually has risen by nearly 80 per cent.

6. A further striking factor in Sweden during the past decade has been the very active development by the authorities of social welfare policy. A major extension of the health insurance scheme took place in the middle 1950's. And at the end of the period a far reaching national pensions scheme was introduced to supplement the existing old-age pension arrangements. This supplementary scheme provides for retirement pensions (generally at the age of 67, at earlier retirement, the annual pension will be correspondingly reduced), family pensions to dependents of prematurely deceased earners and advance pensions which can be claimed in the case of substantial deterioration in the individual's capacity to work. Together with the existing old-age pensions arrangements, the supplementary scheme (from which the first payments will be made in 1963) will secure to a retired person about 65 per cent of his average earnings based on his 15 best income years. The pensions are guaranteed against declines in the purchasing power of the currency. The scheme is financed by employers and self-employed, on whom contributions are levied on a modified " pay-as-you-go " basis.

7. The 1950's were marked by rising levels of household savings. Deposits on savings accounts with commercial banks and with other financial intermediaries like savings banks and the Post Office Savings Bank went up considerably. Households' purchases of shares, however, did not show any marked increase until towards the end of the period, and large household purchases of bonds other than premium and savings bonds were confined to periods of relatively high interest rates (1954-55, 1960). The high volume of business investment could be carried out in spite of limited access to bank credit — the banks during a great part of the period were subject to restrictions in the form of liquidity ratios and quantitative lending restrictions. Mainly as a result of these policies, only half of the increase in bank deposits had its counterpart in an increase of loans to the private sector, the other half financing banks' holdings of government bonds and treasury bills and some increase in the foreign exchange holdings of the banks. During the greater part of the period, there was a net deficit on the Government's combined current and capital account and a substantial borrowing.

8. While the 1950's saw some increase in the foreign exchange reserves of the commercial banks, the official holdings showed no significant change. For the period as a whole, the current account was approximately in balance, or perhaps slightly in surplus insofar as part of the rather large positive figure of errors and omissions may have represented earnings on current account transactions. The growth of the volume of exports was particularly marked in the second half

of the decade (8 per cent a year, compared with an annual increase of about 3 per cent in the first five years). For the greater part, the increase was in trade with Western Europe; by 1960 European Member countries were taking as much as two-thirds of Sweden's exports. In the course of the 1950's the relative importance of exports of forestry products declined somewhat, from 43 to 37 per cent of total export value. Mainly as a result of growing machinery exports, the share of iron and steel and metal products rose to 50 per cent. On the import side, too, the greatest increase took place in machinery and equipment. The pattern of both exports and imports is very similar for Sweden, raw materials and semi-finished goods accounting for about one-third of each and manufactured products for about two-thirds. This rather balanced pattern of exports and imports probably serves to limit fluctuations in Sweden's terms of trade which, since the end of the extreme export boom associated with the outbreak of the Korean war, have been relatively stable.

9. Growing dependence on foreign trade has, of course, had the effect of increasingly exposing the Swedish economy to international fluctuations. Changes in export demand, reflecting the pattern of recession and recovery in the United States and the changing rate of expansion in major European countries, have tended to lead cyclical movements in Sweden. The authorities have, to a very large extent, prevented such fluctuations from making themselves felt strongly throughout the domestic economy; but despite the vigorous use of contra-cyclical policies, the rate of economic growth has been somewhat uneven, ranging from periods of virtual standstill (1951 and 1958) to increases of 5 to 6 per cent in exceptionally good years.

10. With a shortage of manpower tending, throughout most of the period, to hamper the rate of growth from the supply side, the authorities have made increasing efforts to mobilise those pockets of manpower which, for geographical, structural or seasonal reasons, were unemployed or underemployed. The Government's "labour market policy" has embraced a wide range of measures, including special allowances[1] to stimulate geographical mobility, retraining courses, the strengthening of the labour exchange system and steps to attract married women and the middle-aged into the active labour force. An active location of industry policy has also been pursued, based mainly on the information services of the labour market institutions and the Industrial Production Council, and to a small extent on government loans or guarantees.

11. But despite energetic contra-cyclical action, and the Government's efforts to secure the optimum distribution of manpower resources,

1. The Labour Market Board grants travelling allowances, family allowances and starting allowances if a person is unemployed or considered liable to become unemployed and has the possibility of being employed elsewhere. Travel expenses in connection with interviews may also be covered.

there have been rather large increases of prices and wages. These increases were particularly large in 1951 and 1952, when the effects of the Korean war were felt — average hourly earnings for male workers rose by around 20 per cent in each of these years, while the corresponding annual increases during the rest of the period varied between 4 and 8 ½ per cent. Consumer prices developed similarly; after increases of 12 and 7 per cent in 1951 and 1952, respectively, the annual rises have varied between ½ and 5 per cent. After a fairly stable period in 1959 and 1960 (excluding the effect of the sales tax), the pressure on prices has somewhat increased. While the situation has been strongly affected by international price developments, both excessive home demand and pressure from the wage side served to push up the price level during the period under review.

III. Recent developments

Demand and Supply Conditions

12. In the course of 1961, certain changes began to appear in the current business situation. In the previous two years or so, sharply rising exports and a domestic investment boom had been the leading elements on the demand side, supporting an expansion of output that exceeded the longer-term average. During 1961, however, the rise in exports tapered off, and towards the end of the year there were strong signs of a levelling-off of the private investment boom. Private consumption, on the other hand, rose by as much as 6 per cent, the sharpest increase since the immediate post-war years. Part of the explanation lies in the fact that the 1960 increase was unusually low (an after-effect of the purchase rush just before the introduction of the sales tax). But there was also a substantial wage increase at the beginning of the year.

13. The real increase of the gross national product for the year as a whole amounted to 4.5 per cent. With the slackening of the growth of exports, industrial output rose rather less than either building activity (5 per cent) or agriculture (6 per cent). As previously, the service trades showed a particularly sharp increase. Virtually all the increase in total output reflected higher production per hour worked, for although employment rose by 1 per cent, hours worked increased less.

14. In 1961 registered unemployment fell to 1.2 per cent of the insured labour force, a particularly low figure for Sweden. On the basis of a labour force survey, this figure would correspond to an unemployment ratio of around 1½ per cent. Such surveys were, in fact, made in May, August and November 1961, showing ratios of 1.2, 1.5 and 1.7 per cent respectively; these surveys are scheduled to continue on a quarterly basis. The pressures arising from the tight labour situation were somewhat alleviated, compared with those experienced in similar situations in the post-war period, by the active use of the labour

market policies outlined in paragraph 10 above. Furthermore, a detailed planning of government investment, government influence upon the volume and the timing of residential building, and co-operation with the Swedish manufacturers' association on a voluntary basis, regarding the timing of industrial investments, have considerably contributed to an easing of the pressures, especially in the top seasons. Such measures may serve to enable a reasonable balance to be maintained at higher employment levels, and with lower unemployment than previously.

15. The rise of industrial production flattened off in the course of 1961, and during the second half of the year demand, although remaining generally very high, seems to have been slackening in several areas. Order books began to shrink in some important export industries, leading to some price reductions and some cutting-back of output. The increase in building and construction activity showed a certain tendency to diminish, and in 1962 no further increase in total private investment is expected. The moderate slowing-down in the rate of expansion in certain European countries, with expectations that this might continue, has probably influenced this movement. But there may also be some autonomous tendency, on the part of Swedish business, to plan for a somewhat lower rate of expansion than during the recent very expansionary period because of the appearance of temporary over-capacity in some industries.

Prices and Wages

16. Total wage and salary earnings rose by 11 per cent between 1960 and 1961. Some 2 per cent reflected an increase in the volume of employment and cash payments substituting previous pension schemes after the introduction of the national supplementary pensions scheme. But hourly earnings rose by as much as 8½ per cent, of which about 5 percentage units reflected negotiated wage increases and the rest came mainly from wage drift. The phenomenon of wage drift was, as usual, particularly marked in manufacturing, where only about 3½ per cent of the 8½ per cent rise in hourly earnings was a direct result of collective bargaining. Total hourly labour costs rose, as in 1960, by 9 per cent (the employers' contribution to the national pensions scheme was increased by 0.7 per cent), a movement that clearly outstripped the increase in productivity.

17. But although labour costs per unit of output were thus pushed up, the effect on the price level was rather limited. Increased labour costs were to a great extent offset by lower prices for raw materials. Thus, despite the strong demand situation and the sharp rise of wages, consumers' prices showed a relatively moderate development. The rise in the consumer price index was limited to 2 per cent, following the 4 per cent increase of 1960 (of which three quarters had resulted from the sales tax). Wholesale prices, as in 1960, rose by 1 ½ per cent.

Public Finance

18. The expansionary effect of the Central Government's budget, previously very marked, had already been substantially reduced in 1960. In 1961 the change towards more contractionary policies was continued, in view of the rate at which demand from the private sector had been developing and the danger that resources would become seriously over-strained. Between 1960 and 1961 there was a swing from virtual balance to surplus, on current and fixed investment account combined, corresponding to 2 per cent of the gross national product, and although government lending to support the housing programme increased, the overall balance of the budget served to reduce liquidity in the private sector by some S. Kr. 300 million, compared with increasing it by S. Kr. 1,000 million in 1960.

TABLE 1. CENTRAL GOVERNMENT FINANCES [1]
CALENDAR YEAR

S. Kr. million.

	1959 ACTUAL	1960 ACTUAL	1961 PRELIMINARY	1962 FORECAST
Current receipts	12,847	14,750	17,450	18,400
Direct taxes	6,422	6,800	8,550	8,350
Indirect taxes	5,452	6,800	7,650	9,050
Other	973	1,150	1,250	1,000
Current and investment expenditures	13,801	14,800	16,000	17,350
Transfer payments	7,334	7,700	8,550	9,100
Consumption	3,285	3,650	4,000	4,550
Gross investment	3,181	3,450	3,450	3,700
Balance on current and fixed investment account	— 954	— 50	1,450	1,050
Lending	1,072	950	1,150	1,200
Balance on total account	— 2,026	— 1,000	300	— 150

1. The figures are on a cash basis and at current prices.
Source: Preliminary National Budget for 1962.

19. The tightening of budgetary conditions in 1961 was primarily the result of the automatic increase of revenues which flowed from the rise of private incomes. Current budgetary receipts rose by 18 per cent, compared with an increase in the gross national product, in money terms, of 7.5 per cent. The increase in the current and investment expenditures of the Central Government was restricted to about half the growth of receipts. Government borrowing operations — the issue of a 5½ per cent loan with a two-year maturity, and the sale of premium and savings bonds — were mainly aimed at neutralising the effect of contractual debt redemption during the year.

20. Budgetary policy in 1962 is expected to be somewhat less restrictive in its effect on the economy. Some net reduction in the total tax burden is being made, public consumption will be allowed to rise rather faster than in recent years, and an expansion of government investment is envisaged. Within the modest overall alleviation of the tax burden, a reshaping of the pattern of taxation has taken place. The general sales tax has been increased from 4 to 6 per cent with a simultaneous reduction of direct taxation and increases in children's allowances and in pensions etc. to offset the effect of the resultant price increase on the living standards of large families and old age pensioners. One result of this shift in the emphasis of the fiscal system from direct to indirect taxes will be henceforth somewhat to reduce the automatic stabilising effects of the central budget.

21. A substantial quasi-public saving is expected to take place through the National Pension Fund. Outpayments by the fund will not start until 1963, but substantial in-payments are already being made by contributors — enterprises and self-employed persons — and the premiums due will increase progressively in the coming years. The annual saving of the fund amounted to S. Kr. 720 million in 1961 — and is expected to increase to S. Kr. 1,300 million in 1962. In some respects this has a similar effect to increased savings through the budget. In the present year it will more than offset the less contractionary budgetary policy. However, most of the increase in the fund's capital will be used for lending to others than the Government, thus contributing to the financing of investments.

22. Closely akin to taxation, in its immediate liquidity effect on the private sector, is the system of investment reserves which, with progressive modifications, the Swedish Government has now been applying over a number of years. The object of the system has been to provide the Government with a rather greater influence over the timing of private investment than would have been entailed by normal fiscal policy.

23. The ordinary system consists essentially of an arrangement whereby companies can deduct up to 40 per cent from their taxable income as an investment reserve to be used for investments in fixed assets when the authorities so decide. The part of this reserve which would normally have been paid in taxes (46 per cent) has to be frozen at the Central Bank. The immediate liquidity position of the company and of the economy as a whole is thus neither increased nor decreased by the operation. But when employment is to be stimulated the authorities can release the deposited money, which has then to be used — together with the non-blocked part of the reserves — for investment in fixed assets which are immediately written off. An extra incentive for the companies to participate in this scheme is provided by the fact that they can deduct from their taxable income 10 per cent of the reserves when they are thus used in accordance with the wishes of the

authorities. Five years after the year in which the reserve is originally set off, 30 per cent of any by then unreleased reserves will be free for investments of the permitted types without special permits, but no extra 10 per cent deduction from taxable income is made in the case of such use of the reserve. The anticyclical effect of the system was strengthened in 1960 by an additional scheme offering further allowances if the ordinarily non-blocked part of the reserve is deposited at the Central Bank to the end of the following year. This additional scheme served in the short run actually to withdraw liquidity from the private sector.

24. The system of investment reserves seems to have aided contracyclical policies both during the recession in 1958-59 and during the recent boom. Total investment reserves rose from S. Kr. 1.1 billion in 1958 to 2.5 billion at the beginning of 1962, of which nearly 1.2 billion were frozen as long or short term deposits at the Central Bank. The scheme, however, would seem mainly to have attracted the bigger firms, with the greatest immediate liquidity (70 per cent of the investment reserves belonged to less than 100 large companies); and at the end of 1961 — when the extra deposits blocked in 1960 (S. Kr. 400 million) fell due for automatic release — the offer of further concessions to companies willing to freeze their assets for an additional period met with a disappointing response.

Monetary Policy

25. The policy of the monetary authorities throughout the greater part of 1961 was to allow the increasingly restrictive effect of the Government's financial situation to work its way through to the private sector and, on occasions, to strengthen that effect. Interest rates on short-term borrowing by the Government had been raised at the beginning of the year to help absorb short-term increases in liquidity. In May the authorities imposed penal rates on excess borrowing by the banks from the Central Bank. In the course of the year it became clear that the reserve ratio of the commercial banks had fallen so far below the level (41 per cent) previously recommended by the Central Bank as to be unrealistic, and the recommended ratio was, accordingly, reduced to 29 per cent. This new recommendation is to apply throughout the year, including the seasonally " difficult months ", whereas the former was regarded as a more general target. In October the Government submitted to the Parliament legislation amending its stand-by powers in the field of monetary policy, enabling it, if necessary, to impose minimum reserve requirements on all banks, and to prescribe for financial institutions other than the commercial banks the minimum proportion of the increase of their total assets to be invested in government bonds, housing mortgages and certain other priority issues. The new law applies also to insurance companies and the National Pension Fund and not as previously, only to the banks. It is however, the

intention to have the new legislation as a safeguard and to continue with voluntary agreements.

The Domestic Liquidity Situation

26. The net result of governmental budgetary policy, the operation of the investment reserves and the Central Bank's transactions was to reduce the supply of liquid assets in 1961 by over S. Kr. 500 million, compared with increases of about 200 and 400 million in 1959 and 1960 respectively (line E, Table 2). The swing between 1960 and 1961 was more than accounted for by the change in the budget out-turn from overall deficit to overall surplus. The withdrawal of liquidity through the blocking, at the Central Bank, of investment reserves was much lower than in 1960, but until December, when some S. Kr. 300 million was released, had continued to be quite large.

TABLE 2. MAIN FACTORS INFLUENCING THE DEVELOPMENT OF LIQUIDITY [1]

Million Kr.

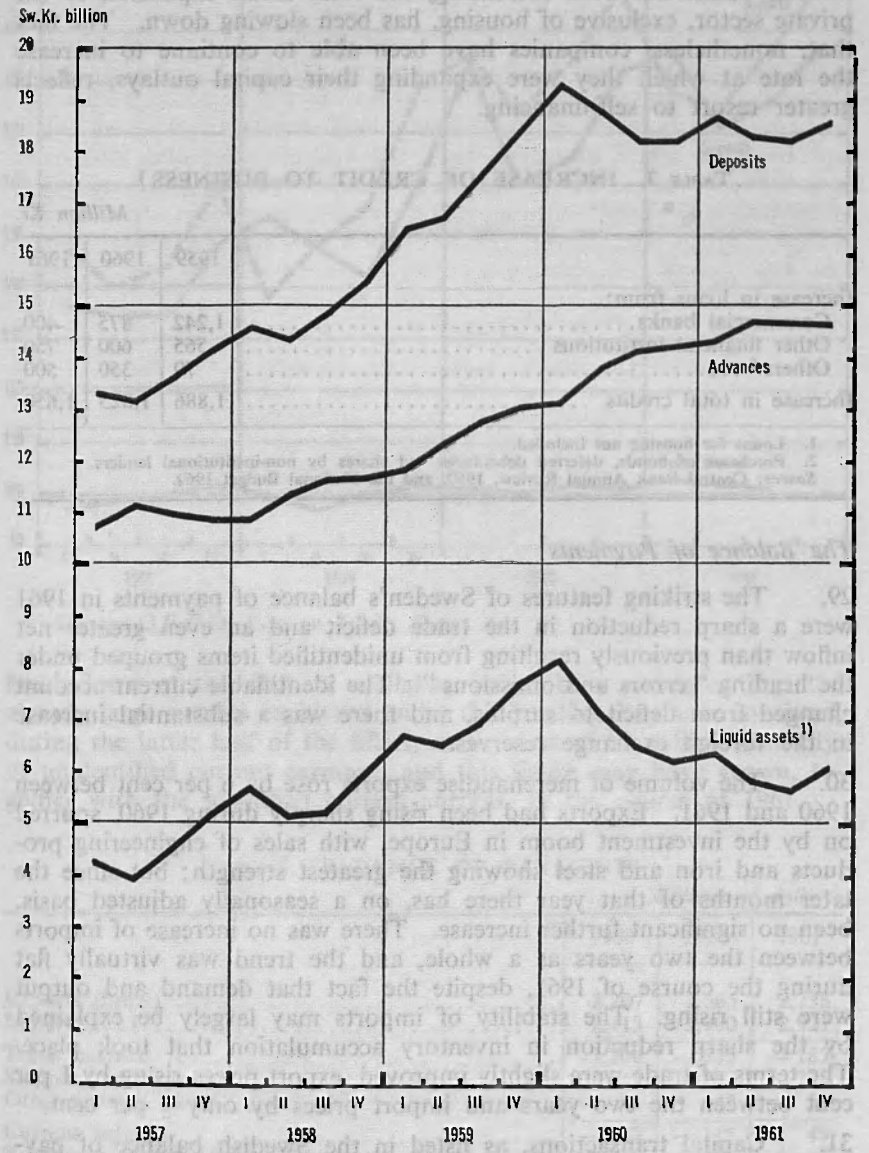
		1959	1960	1961
1.	Excess of government expenditure over receipts (before borrowing)	2,025	1,000	— 300
2.	Government borrowing (—) from other than from the Central Bank	— 1,525	75	100
A.	Net supply of liquidity from the Government	500	1,075	— 200
B.	Withdrawal (—) through increase of blocked investment reserves	— 40	— 860	— 85
C.	Central Bank transactions, net	— 45	— 35	— 235
E.	Net supply through fiscal and monetary policy (A + B + C)	415	180	— 520
F.	Net supply through inflow of foreign exchange to the banks [2]	55	— 160	900
H.	Total change in liquidity, (increase +) (E and F) [3]	470	20	480

1. Rounded figures.
2. Central Bank and commercial banks
3. Commercial bank holdings of government bonds and Treasury bills are not included as liquidity in this survey.

27. The restrictive fiscal and monetary policies withdrew from the private sector an amount of liquidity corresponding to over half the inflow resulting from the overall balance of payments surplus (a surplus that, in turn, was no doubt stimulated by the more stringent domestic policies which the authorities were following). The year saw a continued squeeze on the situation of the commercial banks. In 1960, deposits in the commercial banks had fallen rather sharply, although advances had continued to rise. 1961 saw no real recovery in their deposit situation; and after some further increase in advances had been made in the early part of the year, these flattened out with — as indicated in

Diagram 2. COMMERCIAL BANK LIQUID ASSETS [1], ADVANCES AND DEPOSITS

4 MONTHLY AVERAGES (QUARTER PLUS END OF PRECEDING MONTH)



1. Comprising cash, net foreign assets, bonds and treasury bills.

Source: Kommersiella Meddelanden.

paragraph 23 above — the reserve ratio well below the level previously recommended by the authorities.

28. Although the supply of credit from sources outside the commercial banks has been increasing, the total credit expansion to the private sector, exclusive of housing, has been slowing down. The fact that, nonetheless, companies have been able to continue to increase the rate at which they were expanding their capital outlays, reflects greater resort to self-financing.

TABLE 3. INCREASE OF CREDIT TO BUSINESS [1]

Million Kr.

	1959	1960	1961
Increase in loans from:			
Commercial banks	1,242	875	400
Other financial institutions	565	600	750
Others [2]	79	350	500
Increase in total credits	1,886	1,825	1,650

1. Loans for housing not included.
2. Purchases of bonds, deferred debentures and shares by non-institutional lenders.
Source: Central Bank Annual Review, 1960, and the National Budget 1962.

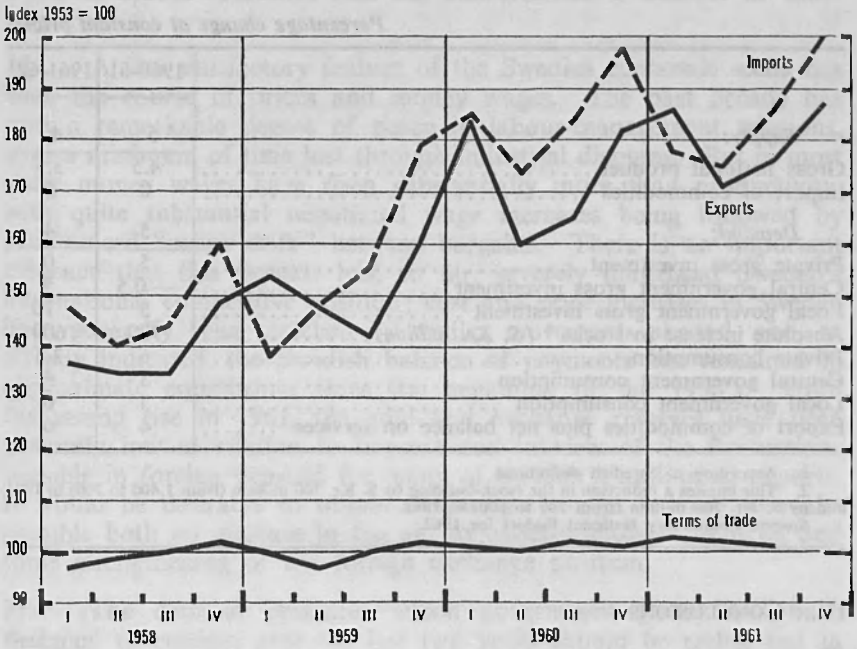
The Balance of Payments

29. The striking features of Sweden's balance of payments in 1961 were a sharp reduction in the trade deficit and an even greater net inflow than previously resulting from unidentified items grouped under the heading " errors and omissions ". The identifiable current account changed from deficit to surplus, and there was a substantial increase in the foreign exchange reserves.

30. The volume of merchandise exports rose by 6 per cent between 1960 and 1961. Exports had been rising sharply during 1960, spurred on by the investment boom in Europe, with sales of engineering products and iron and steel showing the greatest strength; but since the later months of that year there has, on a seasonally adjusted basis, been no significant further increase. There was no increase of imports between the two years as a whole, and the trend was virtually flat during the course of 1961, despite the fact that demand and output were still rising. The stability of imports may largely be explained by the sharp reduction in inventory accumulation that took place. The terms of trade were slightly improved, export prices rising by 1 per cent between the two years and import prices by only ½ per cent.

31. Capital transactions, as listed in the Swedish balance of payments, are limited to government transactions and registered purchases and sales of securities. The item " errors and omissions " includes direct investment and trade credits, as well as unidentified items properly belonging to the current account. While no very reliable

Diagram 3. FOREIGN TRADE: VOLUMES AND TERMS OF TRADE
QUARTERLY SEASONALLY ADJUSTED DATA



Source: O.E.C.D. Foreign Trade, Series A.

break-down of this item is available, it has been estimated that the already large surplus registered under this heading may have consisted, during the latter half of the fifties, as to about $ 60 million annually, of unidentified current earnings, and this figure may have grown, together with the identified current surplus, in the course of 1961.

TABLE 4. BALANCE OF PAYMENTS

Millions of dollars.

	1959	1960	1961
Exports (f.o.b.)	2,207	2,565	2,738
Imports (c.i.f.)	2,413	2,900	2,921
Trade balance	— 206	— 335	— 183
Shipping earnings, net	240	262	271
Other services, net	— 41	— 42	— 39
Current balance	— 7	— 115	49
Registered capital transactions	— 16	— 14	— 7
Errors and omissions	34	98	132
Change in foreign exchange reserves	11	— 31	174

Source: The Central Bank.

TABLE 5. BALANCE OF RESOURCES IN 1961 AND OFFICIAL FORECAST FOR 1962[1]

Percentage change at constant prices.

	1960-61	1961-62[1]
Supply:	5	4
Gross national product	4.5	3.5
Import of commodities	0	5
Demand:	5	4
Private gross investment	5	0
Central government gross investment	— 0.5	5
Local government gross investment	5	10
Absolute increase in stocks[2] *(S. Kr. million)*	700	600
Private consumption	6	3.5
Central government consumption	3	5
Local government consumption	3	6
Export of commodities plus net balance on services	4	6

1. According to Swedish definitions.
2. This implies a reduction in the stock-building by S. Kr. 700 million (from 1,400 to 700) in 1961 and by S. Kr. 100 million (from 700 to 600) in 1962.
Source: Preliminary National Budget for 1962.

IV. CONCLUSIONS

32. The Swedish economy, over recent years, has been characterised by a satisfactory growth rate (3.3 per cent annual average over the 1950's, with rather sharper increase in both 1960 and 1961) and an external account that has fluctuated around equilibrium. A marked feature of the economic scene has been the promptness with which economic policy has been modified to meet, at a relatively early stage, changes in the overall demand situation.

33. An important factor in the Government's contra-cyclical policy has been the extent to which, in the past few years, changes have been made in the deficit or surplus of the central budget. Stable growth has also been helped by a number of special policy instruments such as the temporary investment tax and the system of investment reserves, which have served to smooth out capital expenditures over the cycle and discourage the excessive " bunching " of investment schemes from which some countries have been suffering. Moreover, the Government's influence over business conditions is reinforced by its ability, through the supply of subsidised credit, to stimulate or moderate the volume of residential building, and through the control of new issues on the capital market by the Central Bank. Proposals now before the Parliament (stand-by laws, cf. para. 25) should serve to strengthen the powers of the authorities to influence the activity of all credit and capital market institutions. The active labour-market policy pursued by the Government has also facilitated the process of balanced growth

by increasing the mobility of manpower and eliminating some of the waste of labour resources that has characterised a number of other countries.

34. A less satisfactory feature of the Swedish economic scene has been the course of prices and money wages. The past decade has seen a remarkable degree of peace in labour-management relations, with a minimum of time lost through industrial disputes. But in most years money wages have risen substantially more than productivity, with quite substantial negotiated wage increases being followed by pronounced " wage drift " between bargains. There is no important evidence that this process has, so far, severely influenced Sweden's international competitive position; cost and price increases in Sweden have generally been matched by similar movements abroad, and, as already indicated, the Swedish balance of payments has remained in approximate equilibrium since the beginning of the 1950's. Until the strong rise in 1961, the gold and exchange reserves have been generally low in relation to imports and in view of the fluctuations possible in foreign demand for many of Sweden's traditional exports. It would be desirable to obtain a stronger foreign balance to make possible both an increase in the aid to underdeveloped countries and some strengthening of the foreign exchange position.

35. The demand pressures which government policy has been designed to contain over the last two years should be rather less in 1962. While a continued expansion of exports — possibly some 6 per cent in real terms — is expected, the upsurge of private investment which was a major factor in the expansion of recent years seems to be ending; recent surveys suggest that there will be no increase in the total rate of private fixed investment in 1962. Moreover, the terms of trade are expected, by the authorities, to move against Sweden. Budgetary and fiscal policies, on the other hand, will produce some off-setting tendencies, with rising government expenditure and some reduction of the surplus. The task of the authorities in 1962 will be to maintain the slightly easier demand-supply situation now being reached without allowing the flattening-out of the private investment boom to lead to any important slowing-down of the general rate of growth. A need for some slight new stimulus to demand could arise during the course of 1962; but there is little doubt that, through monetary policy or otherwise, the authorities would be able to respond to any such eventuality.

36. Given relatively stable conditions in international trade, the Swedish economy should continue to expand smoothly in the years immediately ahead. A major dynamic factor will no doubt continue to be the growth of housebuilding, to which a very high priority is attached both on social grounds and to support the Government's labour-market policy. The present annual rate of housebuilding already amounts to 10 dwelling units per thousand head of population,

very little lower than in Germany and comparing with about 7 in the United States and 6 in the United Kingdom; this rate seems likely to rise in the next five years, with the probable result that building capacity will be rather strained. It may be relevant to consider how far the housing shortage could be eased by better utilisation of the existing stock of dwellings resulting, for example, from some relaxation of rent controls; during the recent period the difference between the controlled rents of new and old houses has been increasing rather than shrinking.

37. A high and increasing level of savings appears likely, and one effect of the new pensions scheme will be to concentrate the accumulation of savings through semi-official channels. It will be of great importance that the bodies responsible for the investment of the savings thus accruing in the next few years, while the pensions fund is being built up, should pursue lending policies appropriate to the general needs of the economy. In particular, the likely growth of international competition makes it important to ensure that Swedish industry is able to maintain an adequate capital expenditure programme, and private firms may become increasingly dependent, for their finance, on the capital market as opposed to retained profits.

38. The recent tax reform, by reducing marginal tax rates and increasing the importance of indirect taxes in relation to direct taxes, entails some decrease in the automatic stabilising effects of the budget; a given increase in incomes will now produce a smaller increase in revenue on the basis of existing tax rates than previously. In other words, policy changes in respect of tax rates, the investment reserves, credit market conditions, etc., will have an even larger rôle to play than over recent years.

39. A major need, however, in the next few years if Sweden is to play an appropriate rôle in the balanced expansion of the world economy is to avoid excessive wage increases. The rôle of the Government is traditionally confined to establishing economic conditions broadly appropriate to avoid imbalances between demand and supply. But while recent experience suggests that there may be a fairly close correlation between the demand for labour and the increase of wages resulting from negotiation and subsequent drift, it is quite improbable that demand conditions will weaken to the point at which there was no danger of wage increases that exceeded the growth of productivity. There has been a marked tendency throughout the greater part of the last decade for wage drift to add significantly to labour costs on top of the wage increases already centrally negotiated. By changing the wage differentials established by those negotiations, such wage drift has rendered almost inevitable further substantial increases on the occasion of the next central negotiation, to restore the original differential structure. It seems unlikely that this earnings-wage spiral could be weakened by modifications to the present system of highly centralised

annual or biennal negotiations. A solution may lie not only in the pursuance of an anti-inflationary fiscal and monetary policy, but also, as suggested in the recent report prepared for the O.E.E.C. by a group of independent experts [1], in more efficient ways of job-evaluation and rate setting, and in measures to increase labour mobility to even out pressures of demand inside the labour market.

1. " *The Problem of Rising Prices* ", Paris, 1961, pages 391-416.

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1. "The Problem of Rising Prices", Paris, 1961, pages 241-46.

STATISTICAL ANNEX

TABLE 1. GROSS NATIONAL PRODUCT AND EXPENDITURE

S. Kr. million and percentage changes at 1954 prices.

	1950		1955		1960		PERCENTAGE CHANGE			ANNUAL PERCENTAGE CHANGE		
	Time "X"	Nonmilitary expenditure	Time "X"	Nonmilitary expenditure	Time "X"	Nonmilitary expenditure	1950-1955	1955-1960	1950-1960	1950-1955	1955-1960	1950-1960
1. Private consumption	24,175	65	27,272	[illegible]	[illegible]	[illegible]	[illegible]	36	24	2.5	4.7	3.5
a) Durables	2,088	[illegible]	2,678	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]
b) Other	22,075	[illegible]	24,594	[illegible]	[illegible]	[illegible]	34	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]
2. Public consumption	5,440	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	12	55	5.3	2.4	3.8
a) Defence	1,371	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	13	48	0.6	1.8	1.2
b) Civil	4,069	11	5,098	12	6,100	12	28	23	57	5.1	4.2	4.6
3. Gross domestic fixed asset formation	7,088	19	8,718	20	11,475	22	23	32	62	4.3	5.7	4.9
a) Residential construction	1,836	5	2,286	5	2,693	5	22	18	47	4.1	3.5	3.8
b) Other construction	2,149	5	3,402	8	4,676	9	46	38	89	9.9	6.6	7.7
c) Machinery and equipment	2,883	8	3,063	7	4,126	8	5	35	43	1.0	6.4	3.9
4. Change in stocks	290	1	538	1	1,365	3	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]
5. Exports of goods and services	9,573	25	11,895	27	14,303	27	24	20	49	4.4	3.8	4.1
6. Imports of goods and services	8,084	21	12,117	28	17,607	34	49	45	103	7.0	7.7	7.3
7. Gross national product at market prices	37,290	100	43,409	100	51,281	100	17	18	38	3.2	3.4	3.3

Source: Sweden's submission to the O.E.C.D.

TABLE I. GROSS NATIONAL PRODUCT AND EXPENDITURE

S. Kr. million and percentage changes at 1954 prices.

	1950		1955		1960		PERCENTAGE CHANGE			ANNUAL PERCENTAGE CHANGE		
	KR. MILL.	PERCENTAGE DISTRIBUTION	KR. MILL.	PERCENTAGE DISTRIBUTION	KR. MILL.	PERCENTAGE DISTRIBUTION	1950-1955	1955-1960	1950-1960	1950-1955	1955-1960	1950-1960
1. Private consumption	24,113	65	27,282	63	31,049	60	13	14	29	2.5	2.7	2.6
a) Durables	2,088	6	2,618	6	3,548	7	25	36	70	4.6	6.4	5.5
b) Other	22,025	59	24,664	57	27,501	54	12	12	25	2.3	2.3	2.3
2. Public consumption	5,490	15	7,177	17	8,496	17	31	18	55	5.5	3.4	4.5
a) Defence	1,571	4	2,171	5	2,336	5	38	8	49	6.6	1.6	4.1
b) Civil	3.919	11	5,006	12	6,160	12	28	23	57	5.1	4.2	4.6
3. Gross domestic fixed asset formation	7,088	19	8,718	20	11,475	22	23	32	62	4.2	5.7	4.9
a) Residential construction	1,856	5	2,266	5	2,693	5	22	19	45	4.1	3.5	3.8
b) Other construction	2,340	6	3,409	8	4,646	9	46	36	99	7.9	6.4	7.1
c) Machinery and equipment	2,885	8	3,043	7	4,136	8	5	36	43	1.0	6.4	3.7
4. Change in stocks	— 290	— 1	938	2	1,365	3	.	.	.	.	.	.
5. Exports of goods and services	9,533	25	11,498	27	16,503	32	21	44	73	3.9	7.6	5.7
6. Imports of goods and services	8,684	23	12,117	29	17,607	34	40	45	103	7.0	7.7	7.3
7. Gross national product at market prices	37,250	100	43,496	100	51,281	100	17	18	38	3.2	3.4	3.3

Source: Sweden's submissions to the O.E.C.D.

TABLE II. GROSS FIXED ASSET FORMATION BY INDUSTRY OF USE

S. Kr. million and percentage changes at 1954 prices.

	1950		1955		1960		PERCENTAGE CHANGE			ANNUEL PERCENTAGE CHANGE		
	KR. MILL.	PERCENTAGE DISTRIBUTION	KR. MILL.	PERCENTAGE DISTRIBUTION	KR MILL.	PERCENTAGE DISTRIBUTION	1950-1955	1955-1960	1950-1960	1950-1955	1955-1960	1950-1960
Agriculture, forestry and fishing	514	7	426	5	408	4	—17	— 4	— 21	—3.2	—0,8	—1.9
Manufacturing, mining and construction	1,992	28	1,861	21	2,632	23	— 7	41	32	—1.4	7.1	2.8
Electricity, gas and waterworks	727	10	953	11	1.262	11	31	32	74	5.6	5.7	5.7
Transportation and communication	1,370	19	2,053	24	2,889	25	50	41	111	8.5	7.1	7.8
Dwellings	1,856	26	2,266	26	2,693	23	22	19	45	4.2	3.5	3.8
Public administration	105	2	193	2	203	2	84	5	93	13.0	1.0	6.8
Other service industries	524	8	966	11	1,388	12	84	44	165	13.0	7.6	10.2
Total	7,088	100	8,718	100	11,475	100	23	32	62	4.2	5.7	4.9

Source: Sweden's submissions to the O.E.C.D.

TABLE III. PRODUCTION, EMPLOYMENT AND OTHER BUSINESS INDICATORS

	UNITS	1960				1961			
		1st QTR.	2nd QTR.	3rd QTR.	4th QTR.	1st QTR.	2nd QTR.	3rd QTR.	4th QTR.
1. INDUSTRIAL PRODUCTION:									
a) Total seasonally adjusted	1953 = 100	133	133	137	139	142	140	140	144
b) Capital goods, unadjusted	—	138	139	110	147	149	148	115	153
c) Consumer goods, unadjusted	—	129	130	107	134	131	132	107	137
2. OUTPUT OF MAJOR PRODUCTS:									
a) Pig iron and sponge iron	—	169	160	115	183	186	183	155	204
b) Ingots, finished steel castings etc.	—	193	173	152	204	213	199	175	212
c) Finished steel	—	193	174	159	216	210	207	177	237
d) Pulp	—	154	141	143	161	165	154	152	..
e) Paper and cardboard	—	181	169	166	186	190	179	180	..
3. BUILDING STARTS OF BLOCK FLATS	Thousands	7.3	11.5	16.1	16.6	8.8	11.4	14.3	..
4. MANPOWER:									
a) Number of unemployed, seasonally adjusted	—	25.9	24.2	25.8	21.0	20 1	20.6	22.4	21.6
b) Jobs vacant, seasonally adjusted	—	38.4	37.6	38.9	50.8	47.4	45.4	44.0	51.7
c) Proportion of insured unemployed	Per cent	2.4	1.3	0.7	1.1	1.9	1.1	0.6	1.2
d) Employment in industry, seasonally adjusted	1953 = 100	104	106	107	107	108	109	109	..
5. ENGINEERING ORDER STATISTICS:									
a) Stock, measured in hours of work	August 1954 = 100								
i) Total, excluding shipyards	—	98		110		124		129	
ii) Shipyards	—	122		109		100		98	
b) Duration at current employment levels	—								
i) Total excluding shipyards	—	88		95		103		108	
ii) Shipyards	—	110		97		86		85	
6. TURNOVER IN PRIVATE RETAIL TRADE		97	120	115	142	112	128	123	..

Source: O.E.C.D. Statistical Bulletins. Kommersiella Meddelanden. Statistisk Information. Arbetsmarknadsstatistik. Industrins utredningsinstitut.

TABLE IV. PRODUCTION IN MANUFACTURING BY MAIN INDUSTRIES
PERCENTAGE CHANGES FROM CORRESPONDING PERIODS A YEAR EARLIER [1]

	1958 YEAR	1959 YEAR	1960					1961			
			YEAR	1st QTR	2nd QTR	3rd QTR	4th QTR	1st QTR	2nd QTR	3rd QTR	4th QTR
Iron ore	—7	—2	17	15	19	10	16	17	13	9	0
Iron and metal works	—5	14	9	11	6	6	8	11	12	9	6
Engineering (employment)	—3	—1	7	5	5	7	5	6	5	5	4
Wood	1	—6	12	13	10	14	7	5	1	—9	—6
Pulp and Paper	—3	7	16	15	19	17	8	8	6	3	2
Pulp	—3	5	14	12	20	15	7	9	7	—1	—5
Paper	1	11	18	18	20	19	10	6	5	6	9
Food	3	1	3	7	7	—3	—4	—3	—2	1	4
Textiles	—7	5	5	5	4	4	4	2	4	0	1
Leather and shoes	—8	—3	—4	—1	—6	—6	—11	—3	—3	2	5
Total	2	4	8	8	8	7	4	6	5	2	3
Consumer goods	1	3	5	7	7	3	1	2	2	0	2
Capital goods	3	3	9	8	8	8	7	8	7	5	4

1. Owing to different basis of calculation, the annual figures differ from the averages of the quarters.
Source: Kommersiella Meddelanden, Industriförbundets index.

TABLE V. WAGES AND PRICES

1953 = 100.

	1960				1961			
	1st QTR	2nd QTR	3rd QTR	4th QTR	1st QTR	2nd QTR	3rd QTR	4th QTR
1. HOURLY EARNINGS IN INDUSTRY	143	150	150	154	159	164	162	165
2. CONSUMER PRICES	124	124	124	125	126	127	127	128
a) Food	128	128	127	128	130	131	132	133
3. WHOLESALE PRICES	110	110	110	112	113	113	113	113
a) Raw materials and semi-manufactures	109	109	109	110	111	110	109	110
b) Agricultural products	113	116	114	119	118	117	115	119
c) Manufactured products	111	112	112	113	114	115	116	116
4. BUILDING COSTS	115	116	117	117	118	120	120	120

Source: O.E.C.D. Statistical Bulletins. Socialstyrelsens konsumentprisindex Kommersiella Meddelanden.

TABLE VI. MONETARY SURVEY

Millions of Kronor at end of period.

	1958	1959	1960 1st QTR	1960 2nd QTR	1960 3rd QTR	1960 4th QTR	1961 1st QTR	1961 2nd QTR	1961 3rd QTR	1961 4th QTR
CENTRAL BANK:										
1. Foreign assets, net, and gold	2,445	2,166	2,038	2,359	2,477	2,435	2,728	3,233	3,270	3,319
2. Swedish treasury bills and bonds	4,545	4,893	4,057	4,246	4,294	6,005	4,642	4,683	4,529	5,702
3. Advances	91	239	592	391	702	4	682	516	636	5
4. Notes in circulation	6,059	6,266	5,727	5,983	5,906	6,559	6,223	6,302	6,195	6,870
5. Government current deposits	158	146	100	194	113	118	107	164	123	209
6. Commercial bank current deposits	163	138	25	23	20	154	21	43	23	163
7. Other deposits [1]	361	387	461	410	953	1,155	1,211	1,478	1,543	1,254
COMMERCIAL BANKS:										
8. Cash	457	479	309	323	281	434	300	335	290	472
9. Foreign assets, net	546	881	664	274	288	453	321	222	414	472
10. Bonds and treasury bills	5,223	6,340	7,191	6,220	5,666	5,558	5,515	5,051	5,013	5,673
11. Advances:										
i) Amounts drawn	11,692	13,125	13,471	13,950	14,312	14,091	14,646	14,690	14,952	14,541
ii) Amounts granted	13,469	15,358	15,433	15,848	16,144	16,293	16,649	16,704	16,956	16,973
12. Current deposits	1,988	2,733	1,698	1,920	1,702	2,290	1,680	2,106	1,744	2,994
13. Savings deposits	2,185	2,238	2,345	2,360	2,332	2,312	2,112	2,115	2,083	2,029
14. Time deposits	11,814	13,979	15,210	14,190	14,033	13,922	14,814	13,741	14,224	14,392
SAVINGS BANKS [2]:										
15. Bonds and treasury bills	1,023	1,065	1,093	1,108	1,122	1,148	1,160	1,178	1,183	1,197
16. Advances	8,852	9,573	9,711	9,820	9,959	10,144	10,356	10,495	10,658	10,906
17. Deposits	9,448	10,107	10,711	10,659	10,811	10,867	11,485	11,383	11,598	11,644
OTHER MONETARY DATA:										
18. Government bond yield [3]	4.27	4.44	4.56	4.56	4.62	4.44	4.48	4.62	4.62	4.54
19. Official discount rate	4.5	4.5	4.5	5.0	5.0	5.0	5.0	5.0	5.0	5.0

1. Mainly enterprises' investment reserve deposits.
2. Comprising 84 large savings banks, representing 75 per cent of deposits in all savings banks.
3. 1934, 3 per cent "eternal" loan.

Source: Kommersiella Meddelanden; Uppgifter om bankerna.

Table VII. GOVERNMENT CASH REVENUE AND EXPENDITURE

Millions of Kronor.

	1959				1960				1961			
	1st QTR.	2nd QTR.	3rd QTR.	4th QTR.	1st QTR.	2nd QTR.	3rd QTR.	4th QTR.	1st QTR.	2nd QTR.	3rd QTR.	4th QTR.
1. Current revenue	3,860	3,769	3,679	1,580	4,300	4,098	4,234	2,113	5,463	4,830	4,829	2,317
2. Current expenditure	3,004	3,706	3,024	3,423	3,331	3,918	3,374	3,798	3,593	4,064	3,633	
3. Current balance	856	67	655	—1,843	969	180	860	—1,685	1,870	766	1,196	
4. Capital expenditure	323	402	486	338	478	375	411	251	320	410	415	
5. Total budget	533	—335	169	—2,181	491	—195	449	—1,936	1,550	356	781	

Source: Kommersiella Meddelanden.

TABLE VIII. TRADE AND RESERVES

	UNITS	1960				1961			
		1st QUARTER	2nd QUARTER	3rd QUARTER	4th QUARTER	1st QUARTER	2nd QUARTER	3rd QUARTER	4th QUARTER
VALUE OF TRADE, unadjusted:									
1. Imports (c.i.f.)	$ million	734	687	661	817	723	710	684	804
2. Exports (f.o.b.)	$ million	609	617	623	715	632	692	675	739
3. BALANCE	$ million	— 125	— 70	— 38	— 102	— 91	— 18	— 9	— 65
VALUE OF TRADE, adjusted:									
4. Imports	$ million	713	678	709	766	707	701	739	794
5. Exports	$ million	683	600	616	682	715	657	674	718
VOLUME INDICES, adjusted:									
6. Imports	1953 = 100	185	174	184	198	178	175	186	..
7. Exports	1953 = 100	184	160	165	182	186	171	176	..
AVERAGE VALUE INDICES:									
8. Imports	1953 = 100	99	100	99	99	101	102	102	..
9. Exports	1953 = 100	100	100	101	101	104	104	104	..
10. Terms of trade	1953 = 100	101	100	102	101	103	102	101	..
11. CHANGE IN FOREIGN EXCHANGE RESERVES [1]	$ million	— 67	— 13	25	24	31	79	44	20
12. HOLDINGS OF GOLD AND NET FOREIGN EXCHANGE RESERVES [1]	$ million	522	509	534	558	589	668	712	732

1. Comprises reserves of both the Central Bank and the commercial banks.
Source: O.E.C.D. Statistical Bulletins. Månadsstatistik över handeln.

Table IX. EXPORTS BY MAJOR CATEGORIES

	1961 $ million	Percentage change from previous year					
		1960			1961		
		I	II	YEAR	I	II	YEAR
Food	85	—9	10	1	5	22	15
Hides, etc	33	2	—26	—10	5	37	17
Timber, etc	234	8	25	18	7	—10	—4
Pulp	336	14	12	13	—2	—9	—6
Paper, etc	282	23	16	19	7	8	8
Ores, etc	220	34	18	25	10	—4	3
Textiles and clothing	68	18	26	22	32	30	31
Chemicals	80	22	5	12	10	5	7
Iron and steel	223	34	20	26	16	10	13
Other metals	49	9	3	6	—4	—6	—5
Machinery and equipment	577	20	26	23	21	21	21
Ships	167	0	4	2	—2	—12	—7
Motor vehicles	140	27	10	18	2	23	12
Instruments, etc	17	9	11	10	16	14	15
Other	226	23	12	17	—2	13	6
Total	2,738	17	16	16	8	6	7

Source: Kommerskollegium.

Table X. IMPORTS BY MAJOR CATEGORIES

	1961 $ million	Percentage change from previous year					
		1960			1961		
		I	II	YEAR	I	II	YEAR
Food	295	5	—5	0	—6	11	2
Beverages and tobacco	44	40	43	42	13	10	11
Non-edible raw materials except textiles and fuels	187	39	20	29	—5	—7	—6
Textiles and clothing	313	34	10	21	3	8	6
Fuels	396	13	13	13	—1	—5	—3
Oils and fats	19	11	23	17	—2	—16	—9
Chemicals	223	32	11	21	—1	2	1
Iron and steel	190	75	31	51	—12	—19	—16
Other metals	121	47	27	37	—10	—8	—9
Machinery and equipment	540	23	7	15	14	12	13
Transport equipment	242	23	16	20	—11	—17	—14
Instruments, etc	67	24	9	16	5	12	9
Other	284	19	12	15	18	14	16
Total	2,921	26	13	19	1	1	1

Source: Kommerskollegium.

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